

NVIDIA Corporation

Solid Beat/Raise; FY28 Framework Points to Rapid Growth (Still Likely Conservative); GM Trajectory Reset Lower on Memory Cost Inflation but Underpinned by LT Commitments/Reit OW

NVDA delivered Jul-Qtr results and an Oct-Qtr revenue outlook solidly ahead of Street expectations, with Data Center growth accelerating on sustained Blackwell Ultra demand and a step-up in ACIE revenue (sovereign, AI-native, and enterprise). More importantly, mgmt introduced its first-ever formal forward-year revenue framework for FY28 and explicitly characterized the outlook as supply-constrained, with unconstrained demand pacing materially higher, a framing we think is likely conservative given the pace of agentic AI adoption and sovereign momentum globally, as well as the further supply optionality that mgmt continues to unlock with supply chain partners. On the compute roadmap, Vera Rubin production shipments commenced this month with POs in-hand from a multitude of major customers (spanning hyperscalers, AI clouds, and system OEMs). Mgmt is characterizing VR as the fastest product ramp in NVDA's history, meaningfully more constructive than we had assumed heading in given prior architectural transition concerns, and in our view a key de-risk for the FY28 framework. On margins, mgmt explicitly / prudently reset the near-term / FY28 GM trajectory lower to reflect elevated memory cost inflation, with GMs guided to bottom out in F4Q27 before recovering into FY28 as executed price increases layer in. Importantly, the FY28 GM outlook is underpinned by HBM commitments already secured at known pricing across the majority of NVDA's needs, providing what we view as a floor on the trajectory into next year (i.e., de-risking the near-/medium-term margin outlook). Beyond the P&L, NVDA has materially expanded the infrastructure funding architecture supporting forward demand, including the PORTS-Pike guarantee anchoring OpenAI's Ohio buildout, the new \$500B private capital financing platform with Apollo, BlackRock, Blackstone, Brookfield, Goldman Sachs, and KKR, and 50/50 revenue-share economics with select neoclouds, which we view as an incremental, recurring revenue stream layered on top of the traditional hardware sales. Mgmt directly addressed "circular financing" concerns by framing NVDA's balance sheet support as measured against demand strength, ecosystem returns, and the investment-grade profile of the underlying compute purchasers - a framing broadly aligned with our own, though we expect this to remain a live debate. On net, we raise our forward estimates and establish a Dec-27 PT of \$320 (from prior Dec-26 PT of \$280). We reiterate our OW rating.

- **Infrastructure funding architecture materially expanded to enable AI compute demand at scale; rev-share economics and \$500B private capital financing platform create new recurring revenue optionality on top of hardware sales.** We view the significant expansion of NVDA's infrastructure funding initiatives as a mechanism to unblock forward compute demand at neoclouds and frontier AI labs that are growing at a quicker pace than their balance sheets and credit profiles can support: (1) NVDA's \$105B PORTS-Pike guarantee anchors OpenAI's Ohio build out across ~4.25 GW of IT load with a ROFR to an additional ~3.8 GW, and could represent ~1.5M GPUs / \$150-200B in NVDA revenue per generation over multiple 20-year upgrade cycles. (2) Mgmt detailed a revenue-share model with select neoclouds under

Overweight

NVDA, NVDA US

Price (26 Aug 26):\$209.66

▲ Price Target (Dec-27):\$320.00

Prior (Dec-26):\$280.00

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Key Changes (FYE Jan)

	Prev	Cur	Δ
Adj. EPS - 27E (\$)	8.73	9.24	5.8%

Quarterly Forecasts (FYE Jan)

Adj. EPS (\$)	2026A	2027E	2028E
Q1	0.81	1.87A	3.14
Q2	1.05	2.22A	3.68
Q3	1.30	2.48	4.24
Q4	1.62	2.68	4.82
FY	4.77	9.24	15.87

Style Exposure

Quant	Current	Hist %Rank (1=Top)			
Factors	%Rank	6M	1Y	3Y	5Y
Value	68	79	82	89	79
Growth	12	12	19	79	80
Momentum	48	44	27	2	11
Quality	1	2	2	8	5
Low Vol	11	33	58	61	40
ESGQ	19	80	92	41	18

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 11 for analyst certification and important disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	12.4%	1.4%	-2.4%	15.3%
Rel	0.3%	-2.2%	-4.5%	-3.4%

Company Data

Shares O/S (mn)	24,285
52-week range (\$)	236.54-164.07
Market cap (\$ mn)	5,091,593.00
Exchange rate	1.00
Free float (%)	96.2%
3M ADV (mn)	139.85
3M ADV (\$ mn)	29,069.3
Volatility (90 Day)	41
Index	S&P 500
BBG ANR (Buy Hold Sell)	79 2 1

Key Metrics (FYE Jan)

\$ in millions	FY26A	FY27E	FY28E
Financial Estimates			
Revenue	215,938	408,700	695,041
Adj. EBIT	130,515	266,401	454,012
Adj. EBITDA	133,357	271,138	460,334
Adj. net income	116,903	224,148	378,563
Adj. EPS	4.77	9.24	15.87
BBG EPS	9.03	13.09	-
Cashflow from operations	102,719	173,499	318,246
FCFF	96,677	163,711	307,538
Margins and Growth			
Revenue Growth Y/Y (%)	65.5%	89.3%	70.1%
EBIT margin	60.4%	65.2%	65.3%
EBIT Growth Y/Y (%)	60.0%	104.1%	70.4%
EBITDA margin	61.8%	66.3%	66.2%
EBITDA Growth Y/Y (%)	59.8%	103.3%	69.8%
Net margin	54.1%	54.8%	54.5%
Adj. EPS growth	59.3%	93.8%	71.7%
Ratios			
Adj. tax rate	16.1%	18.2%	17.0%
Interest cover	-	-	-
Net debt/Equity	NM	NM	NM
Net debt/EBITDA	NM	NM	NM
ROE	98.8%	99.8%	97.3%
Valuation			
FCFF yield	1.9%	3.2%	6.1%
Dividend yield	0.0%	0.4%	0.5%
EV/Revenue	23.3	12.2	7.0
EV/EBITDA	37.8	18.4	10.5
Adj. P/E	44.0	22.7	13.2

Summary Investment Thesis and Valuation

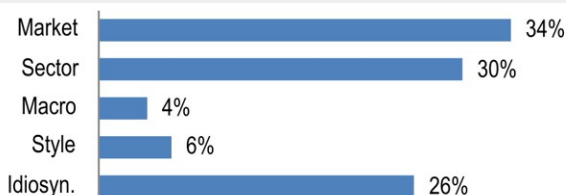
Investment Thesis

NVIDIA's vertically integrated platform (spanning multiple chips, rack systems, and the software stack that ties them together) is difficult to replicate and represents a competitive advantage relative to AI compute peers. Multi-year demand visibility remains exceptionally strong and is explicitly framed as a floor, excluding several incremental revenue streams while being layered on top of a structural, underappreciated shift of traditional enterprise workloads to accelerated compute that is independent of the AI training/inference cycle. We see constructive demand fundamentals coupled with an inflecting capital return supporting material upside to the stock.

Valuation

Our PT assumes NVDA trades at ~20x (reflecting long-term growth rate expectations) applied to CY26 EPS of \$15.87.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.64	0.58
Sect: Technology	0.63	0.68
Ind: Semicond & S Equip	0.69	0.73
Macro:		
US 10yr yield	0.47	0.42
US 10yr Breakeven	0.31	0.26
Crude Oil	0.36	0.26
Quant Styles:		
Size	0.45	0.47
DivYld	-0.51	-0.45
Momentum	0.49	0.40

which NVDA backstops a base-price cloud service agreement (giving lenders the confidence to underwrite the project) and receives 50% of the delta between the base price and the actual market rental price the neocloud achieves (a “get paid twice” model that in our view creates an incremental, recurring, usage-linked revenue stream layered on top of the upfront hardware sale), with the potential to drive billions in incremental revenue over time as more of the ~5-20 rev-share deals currently in the pipeline are executed. (3) The team detailed NVDA’s new \$500B private capital financing platform in partnership with Apollo, BlackRock, Blackstone, Brookfield, Goldman Sachs, and KKR to fund AI infrastructure buildouts at frontier AI labs, with NVDA’s residual credit support capped at ~25% of any given financing and no capital yet committed under this framework. (4) Mgmt disclosed that NVDA has invested nearly \$50B in frontier AI labs to date, that OpenAI has committed to substantially deploy NVDA AI infrastructure through 2030 (~12 GW cumulative), and that AI labs where NVDA leverages its balance sheet are expected to contribute roughly a quarter of NVDA’s business in FY28. Mgmt also directly addressed “circular financing” concerns by framing these investments as measured against the demand strength, ecosystem returns, and the investment-grade profile of the underlying compute purchasers. We broadly agree with this argument given that NVDA compute infrastructure is fungible and redeployable, with guarantees that are phased and capped, and NVDA’s residual role in the financing stack deliberately limited, though we expect this to remain a live debate.

- **F2Q27 (Jul-Qtr) results solidly ahead of Street on broad-based Data Center strength, with ACIE the standout as sovereign, AI Cloud, and enterprise demand accelerates.** NVDA reported F2Q27 revenue of \$96.2B (+18% Q/Q, +106% Y/Y) - its 4th consecutive quarter of accelerating Y/Y growth - comfortably above Street \$92.1B, with GAAP EPS of \$2.22 (vs. Street \$2.09) and GAAP GM of 75.0% (vs. Street 74.8%). Data Center revenue of \$89.0B (+18% Q/Q, +117% Y/Y) beat Street \$87.3B. Hyperscale revenue of \$48.7B (+13% Q/Q, +102% Y/Y) was driven by sustained Blackwell Ultra demand, while ACIE of \$40.3B (+25% Q/Q, +138% Y/Y) accelerated further on capacity additions to serve AI natives, enterprises, sovereign customers, and hyperscalers supplementing their own build-outs (one AI-native cloud was reclassified from ACIE to Hyperscale mid-quarter). Sovereign AI (primarily through regional neoclouds) grew 35% Q/Q and more than tripled Y/Y, driving international revenue mix to 38% of total. China DC compute was less than 1% of DC revenue. Networking grew 18% Q/Q, with Spectrum X Ethernet up 2.6x Y/Y. Edge Computing revenue of \$7.2B (+13% Q/Q, +27% Y/Y) was driven by strong Blackwell workstation sales. NVDA returned a record \$26B to shareholders (\$20B buybacks + \$6B dividends), bringing YTD FCF return to 60% (vs. “50%+” plan).
- **F3Q27 (Oct-Qtr) revenue guidance comfortably ahead of Street; mgmt initiates FY28 revenue framework at approximately +70% Y/Y (supply-constrained).** F3Q27 revenue was guided to \$108.0B (at midpt), materially ahead of Street \$104.5B. Q3 sequential growth is driven primarily by AI natives, with Hyperscale expected to reaccelerate in FQ4 and into FY28 as Vera Rubin supply expands. Vera Rubin is expected to account for ~20% of Data Center revenue in FQ3 (production shipments commenced earlier this month, with purchase orders from every major hyperscaler, AI cloud, and system OEM — mgmt characterized VR as the “fastest product ramp in NVIDIA’s history” and described the Blackwell tail as “getting skinny”). Consistent with prior quarters, the outlook assumes zero China DC compute revenue. GM was guided to 74.0%, ahead of Street ~73.5% but down ~100bps Q/Q on memory cost inflation exceeding prior expectations. Notably, mgmt reset the broader margin trajectory: GMs expected to bottom in the 71-72% range in FQ4 before settling at 72-73% in FY28 as executed price increases take effect in F1Q28, underpinned by HBM commitments already secured at known pricing for the majority of FY28 (a majority of NVDA’s ~\$350B total supply commitments are memory-related, mostly HBM, with three-year forward coverage). Looking further out, mgmt’s preliminary FY28 framework of

approximately +70% Y/Y (JPMe ~\$695B) was attributed primarily to agentic inference-driven TAM expansion, supported by hyperscale cloud industry backlog now exceeding \$2T, revenue per gigawatt now expected to exceed \$40B for Vera Rubin (vs. \$25B for Grace Blackwell and \$18B for Hopper), and CPU revenue expected to more than double in FY28 as Vera ramps.

Table 1: NVIDIA F2Q27 (Jul-Qtr) Earnings and F3Q27 (Oct-Qtr) Outlook

\$ in millions, except per share data

	F2Q27 (Jul-Q)				F3Q27E (Oct-Q)	
	Actual	JPM Est	Diff	Consensus	Guidance	Consensus
Revenue (\$M)	\$96,221	\$92,067	\$4,154	\$92,293	\$108,000	\$105,155
Q/Q Change	17.9%	12.8%	5.1%			
Gross Margin (excl SBC)	75.0%	75.0%	0.1%	75.0%	74.0%	74.8%
Op Margin (excl SBC)	66.2%	65.9%	0.4%			
Proforma EPS (excl SBC)	\$2.22	\$2.09	\$0.13	\$2.09		\$2.36

Source: Company reports and J.P. Morgan estimates

Table 2: Reporting Segment Summary for F2Q27 (vs. F1Q27)

\$ in millions

	F1Q27	F2Q27	Q/Q	Y/Y	% of Revs
Graphic	\$7,065	\$7,922	12%	46%	8%
Compute & Networking	\$74,550	\$88,299	18%	114%	92%
Total	\$81,615	\$96,221	18%	106%	

Source: Company reports

Table 3: End Market Segment Summary for F2Q27 (vs. F1Q27)

\$ in millions

	F1Q27	F2Q27	Q/Q	Y/Y	% of Revs
Data Center	\$75,246	\$89,023	18%	117%	93%
Edge	\$6,369	\$7,198	13%	27%	7%
Total	\$81,615	\$96,221	18%	106%	

Source: Company reports

Balance Sheet and Cash Flow

During the Jul-Qtr, the company generated cash flow from operations of \$24.1B (vs. \$50.3B in the Apr-Qtr) and exited the quarter with \$99.4B in cash, cash equivalents, and marketable securities (vs. \$80.6B in the Apr-Qtr).

Appendix II: Financial Tables

Table 5: NVIDIA Income Statement

\$ in millions, except per share data

\$M	C24	Apr-25	Jul-25	Oct-25	Jan-26	C25	Apr-26	Jul-26	Oct-26	Jan-27	C26E	Apr-27	Jul-27	Oct-27	Jan-28	C27E	Apr-28	Jul-28	Oct-28	Jan-29	C28E
FY end: Jan.	F25	1Q26	2Q26	3Q26	4Q26	F26	1Q27	2Q27	3Q27E	4Q27E	F27E	1Q28E	2Q28E	3Q28E	4Q28E	F28E	1Q29E	2Q29E	3Q29E	4Q29E	F29E
Total revenue	130,497	44,062	46,743	57,006	68,127	215,938	81,615	96,221	109,219	121,645	408,700	140,252	161,777	184,861	208,151	695,041	220,348	233,268	244,725	252,067	950,409
% Change Y/Y	114.2%	69.2%	55.6%	62.5%	73.2%	65.5%	85.2%	105.9%	91.6%	78.6%	89.3%	71.8%	68.1%	69.3%	71.1%	70.1%	57.1%	44.2%	32.4%	21.1%	36.7%
% Change Q/Q		12.0%	6.1%	22.0%	19.3%		19.8%	17.9%	13.5%	11.4%		15.3%	15.3%	14.3%	12.6%		5.9%	5.9%	4.9%	3.0%	
Cost of goods sold	32,638	17,394	12,890	15,157	17,034	62,475	20,458	24,079	28,397	34,669	107,603	39,270	44,489	50,837	57,242	191,837	60,596	64,149	67,299	69,318	261,363
% Change Y/Y	96.4%	208.5%	72.6%	69.8%	60.6%	91.4%	17.6%	86.8%	87.4%	103.5%	72.2%	92.0%	84.8%	79.0%	65.1%	78.3%	54.3%	44.2%	32.4%	21.1%	36.2%
% Change Q/Q		64.0%	-25.9%	17.6%	12.4%		20.1%	17.7%	17.9%	22.1%		13.3%	13.3%	14.3%	12.6%		5.9%	5.9%	4.9%	3.0%	
Non-GAAP Gross margin	75.1%	61.0%	72.7%	73.6%	75.2%	71.2%	75.0%	75.0%	74.0%	71.5%	73.7%	72.0%	72.5%	72.5%	72.5%	72.4%	72.5%	72.5%	72.5%	72.5%	72.5%
GAAP Gross margin	75.0%	60.5%	72.4%	73.4%	75.0%	71.1%	74.9%	75.0%	74.0%	71.5%	73.7%	72.0%	72.5%	72.5%	72.5%	72.4%	72.5%	72.5%	72.5%	72.5%	72.5%
R&D	12,914	3,989	4,291	4,705	5,512	18,497	6,321	7,054	7,654	8,154	29,183	9,051	10,047	11,152	12,378	42,627	12,873	13,388	13,924	14,481	54,667
% Total revenue	9.9%	9.1%	9.2%	8.3%	8.1%	8.6%	7.7%	7.3%	7.0%	6.7%	7.1%	6.5%	6.2%	6.0%	5.9%	6.1%	5.8%	5.7%	5.7%	5.7%	5.8%
SG&A (Adj.)	3,362	1,004	1,070	1,095	1,282	4,451	1,300	1,354	1,408	1,450	5,513	1,523	1,599	1,679	1,763	6,564	1,798	1,834	1,871	1,908	7,412
% Total revenue	2.6%	2.3%	2.3%	1.9%	1.9%	2.1%	1.6%	1.4%	1.3%	1.2%	1.3%	1.1%	1.0%	0.9%	0.8%	0.9%	0.8%	0.8%	0.8%	0.8%	0.8%
Operating income	81,583	21,675	28,492	36,049	44,299	130,515	53,536	63,734	71,760	77,372	266,401	90,407	105,643	121,193	136,768	454,012	145,081	153,897	161,631	166,359	626,968
% Total revenue	62.5%	49.2%	61.0%	63.2%	65.0%	60.4%	65.0%	66.2%	65.7%	63.6%	65.2%	64.5%	65.3%	65.6%	65.7%	65.3%	65.8%	66.0%	66.0%	66.0%	66.0%
Opex GAAP		5,030	5,413	5,839	6,884		7,793	8,584	9,262	9,804		10,774	11,846	13,031	14,341		14,872	15,423	15,995	16,589	
Opex Non-GAAP	11,717	3,583	3,795	4,215	5,230	16,823	7,621	8,408	9,062	9,604	34,696	10,574	11,646	12,831	14,141	49,191	14,672	15,223	15,795	16,389	62,078
Opex % ex options	66.1%	52.5%	64.4%	66.1%	67.4%	63.4%	65.6%	66.2%	65.7%	63.6%	65.2%	64.5%	65.3%	65.6%	65.7%	65.3%	65.8%	66.0%	66.0%	66.0%	66.0%
Interest/Other Expense	1,550	448	520	563	620	2,151	704	522	522	522	2,270	522	522	522	522	2,088	522	522	522	522	2,088
Pretax income	83,133	22,123	29,012	36,612	44,919	132,666	54,240	64,256	72,282	77,894	268,671	90,929	106,165	121,715	137,290	456,100	145,603	154,419	162,153	166,881	629,056
% Total revenue	63.7%	50.2%	62.1%	64.2%	65.9%	61.4%	66.5%	66.8%	66.2%	64.0%	65.7%	64.8%	65.6%	65.8%	66.0%	65.6%	66.1%	66.2%	66.3%	66.2%	66.2%
Income tax	11,146	3,135	4,784	6,026	7,437	21,382	11,582	11,819	12,288	13,242	48,931	15,458	18,048	20,692	23,339	77,537	24,752	26,251	27,566	28,370	106,940
Tax rate	13.4%	14.2%	16.5%	16.5%	16.6%	16.1%	21.4%	18.4%	17.0%	17.0%	18.2%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%
Net income (non-GAAP)	74,266	19,894	25,689	31,767	39,552	116,903	45,548	53,954	59,994	64,652	224,148	75,471	88,117	101,024	113,951	378,563	120,850	128,168	134,587	138,512	522,117
% Total revenue	55.2%	43.1%	51.8%	53.7%	55.0%	51.5%	52.3%	54.5%	54.9%	53.1%	53.8%	53.8%	54.5%	54.6%	54.7%	54.5%	54.8%	54.9%	55.0%	55.0%	54.9%
Avg. No. of Diluted Shr	24,750	24,441	24,366	24,327	24,304	24,360	24,286	24,190	24,114	24,030	24,155	23,934	23,829	23,709	23,570	23,760	23,404	23,588	23,225	23,396	23,403
Avg. No. of Diluted Shr (non-GAAP)	24,805	24,611	24,532	24,483	24,432	24,515	24,391	24,285	24,209	24,125	24,252	24,029	23,924	23,804	23,665	23,855	23,499	23,683	23,320	23,491	23,498
EPS (Non-GAAP)	\$2.99	\$0.81	\$1.05	\$1.30	\$1.62	\$4.77	\$1.87	\$2.22	\$2.48	\$2.68	\$9.24	\$3.14	\$3.68	\$4.24	\$4.82	\$15.87	\$5.14	\$5.41	\$5.77	\$5.90	\$22.22
% Change Y/Y	131%	32%	53%	61%	81%	59%	131%	112%	91%	66%	94%	68%	66%	71%	80%	72%	64%	47%	36%	22%	40%
% Change Q/Q		-9%	30%	24%	25%		15%	19%	12%	8%		-66%	17%	15%	13%		-68%	5%	7%	2%	

Source: Company reports and J.P. Morgan estimates

Table 6: NVIDIA Balance Sheet

\$ in millions, except per share data

	Apr-25	Jul-25	Oct-25	Jan-26	Apr-26	Jul-26	Oct-26	Jan-27	Apr-27	Jul-27	Oct-27	Jan-28	Apr-28	Jul-28	Oct-28	Jan-29
FY End: Jan.	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	1Q29E	2Q29E	3Q29E	4Q29E
Assets																
Cash and ST investment	53,691	56,791	60,608	62,556	80,572	99,369	119,472	142,231	170,375	203,409	242,156	288,000	343,320	402,367	465,697	533,139
Accounts receivable	22,132	27,808	33,391	38,466	40,710	63,059	69,373	73,256	79,837	88,535	97,105	104,765	106,061	107,153	107,037	104,708
Inventories	11,333	14,962	19,784	21,403	25,797	31,575	37,237	43,683	48,695	54,276	61,004	67,545	70,291	73,130	75,375	76,250
Prepaid and other	2,779	2,658	2,709	3,180	3,916	3,409	3,409	3,409	3,409	3,409	3,409	3,409	3,409	3,409	3,409	3,409
Total current assets	89,935	102,219	116,492	125,605	150,995	197,412	229,491	262,579	302,317	349,630	403,674	463,719	523,081	586,058	651,519	717,506
PP&E, net	7,136	9,141	9,780	10,393	12,403	14,285	15,707	17,026	18,249	19,384	20,436	21,411	22,316	23,155	23,934	24,555
Deposits and other	21,916	22,870	27,679	46,677	72,062	84,452	84,452	84,452	84,452	84,452	84,452	84,452	84,452	84,452	84,452	84,452
Goodwill	5,498	5,755	6,261	20,832	20,894	21,125	21,125	21,125	21,125	21,125	21,125	21,125	21,125	21,125	21,125	21,125
Intangible assets	769	755	936	3,306	3,120	2,998	2,998	2,998	2,998	2,998	2,998	2,998	2,998	2,998	2,998	2,998
Total assets	125,254	140,740	161,148	206,803	259,474	320,272	353,774	388,180	429,141	477,589	532,685	593,706	653,972	717,789	784,027	850,736
Liabilities																
Accounts payable	7,331	9,064	8,624	9,812	13,097	15,059	17,475	20,988	23,382	26,044	29,251	32,364	33,655	34,987	36,032	36,420
Accrued liabilities	19,211	15,193	16,452	21,352	29,787	26,960	26,960	26,960	26,960	26,960	26,960	26,960	26,960	26,960	26,960	26,960
Short-term Debt	0	0	999	999	1,000	1,000	0	0	0	0	0	0	0	0	0	0
Deferred revenue																
Total current liabilities	26,542	24,257	26,075	32,163	43,884	43,019	44,435	47,948	50,342	53,004	56,211	59,324	60,615	61,947	62,992	63,380
Capital lease obligations	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Long-term Debt	8,464	8,466	7,468	7,469	7,470	32,366	32,366	32,366	32,366	32,366	32,366	32,366	32,366	32,366	32,366	32,366
Long-term liabilities	6,405	7,886	8,708	9,878	12,646	15,903	15,903	15,903	15,903	15,903	15,903	15,903	15,903	15,903	15,903	15,903
Total liabilities	41,411	40,609	42,251	49,510	64,000	91,288	92,704	96,217	98,611	101,273	104,480	107,593	108,884	110,216	111,261	111,649
Total stockholders' equity	83,843	100,131	118,897	157,293	195,474	228,984	261,069	291,962	330,531	376,316	428,205	486,112	545,089	607,573	672,766	739,088
Total liability and stockholders' equity	125,254	140,740	161,148	206,803	259,474	320,272	353,774	388,180	429,141	477,589	532,685	593,706	653,972	717,789	784,027	850,736

Source: Company reports and J.P. Morgan estimates

Table 7: NVIDIA Cash Flow Statement

\$ in millions

	Apr'25	Jul'25	Oct'25	Jan'26	Apr'26	Jul'26	Oct'26	Jan'27	Apr'27	Jul'27	Oct'27	Jan'28	Apr'28	Jul'28	Oct'28	Jan'29
FY End: Jan.	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	1Q29E	2Q29E	3Q29E	4Q29E
Net income (GAAP)	18,775	26,422	31,910	42,960	58,321	59,688	59,994	64,652	75,471	88,117	101,024	113,951	120,850	128,168	134,587	138,512
Depreciation and amortization	611	668	752	811	997	1,127	1,255	1,358	1,454	1,543	1,625	1,701	1,772	1,838	1,899	1,955
Stock-based compensation	1,474	1,624	1,655	1,633	1,928	2,027	2,027	2,027	2,027	2,027	2,027	2,027	2,027	2,027	2,027	2,027
Excess tax benefits from stock comp																
Other adjustments	(2,100)	(2,329)	(1,310)	(4,889)	(14,446)	(8,058)	(2,000)	(2,000)	(2,000)	(2,000)	(2,000)	(2,000)	(2,000)	(2,000)	(2,000)	(2,000)
Change in working capital																
Change in Receivables	933	(5,675)	(5,583)	(5,073)	(2,243)	(22,346)	(6,314)	(3,882)	(6,582)	(8,698)	(8,570)	(7,659)	(1,296)	(1,092)	116	2,329
Changes in Inventory	(1,258)	(3,622)	(4,823)	(1,621)	(4,420)	(5,784)	(5,662)	(6,446)	(5,013)	(5,581)	(6,728)	(6,541)	(2,746)	(2,839)	(2,246)	(875)
Prepaid expenses and other assets	560	387	(89)	(281)	(983)	(5,497)	0	0	0	0	0	0	0	0	0	0
Deposits and other assets																
Accounts payable	941	1,314	(223)	1,064	2,210	1,915	(2,416)	(3,513)	(2,393)	(2,662)	(3,208)	(3,113)	(1,291)	(1,332)	(1,045)	(388)
Accrued liabilities and other liabilities	7,128	(4,053)	1,129	1,053	7,763	252	0	0	0	0	0	0	0	0	0	0
Other liabilities	350	629	332	533	1,217	753										
Cash Flow from operations	27,414	15,365	23,750	36,190	50,344	24,077	46,883	52,196	62,965	72,746	84,170	98,366	117,317	124,770	133,337	141,560
Purchases of marketable securities	(6,546)	(7,812)	(5,718)	(20,540)	(8,000)	(37,599)										
Sales and maturities of marketable securities	3,589	3,150	2,728	16,916	1,971	31,807										
Purchases of PP&E	(1,227)	(1,894)	(1,637)	(1,284)	(1,757)	(2,677)	(2,677)	(2,677)	(2,677)	(2,677)	(2,677)	(2,677)	(2,677)	(2,677)	(2,677)	(2,677)
Acquisition, net of cash acquired	(383)	(294)	(694)	(165)	(87)	(211)										
Other Investing Activities	(649)	(276)	(3,704)	(25,788)	(18,556)	(15)										
Cash flow from investments	(5,216)	(7,126)	(9,025)	(30,861)	(26,429)	(8,695)	(2,677)	(2,677)	(2,677)	(2,677)	(2,677)	(2,677)	(2,677)	(2,677)	(2,677)	(2,677)
Common stock issued under employee stock plans	370	0	274	0	0	0	0	0	0	0	0	0	0	0	0	0
Issue/Repurchase of common stock	(14,095)	(9,721)	(12,456)	(3,815)	(19,312)	(19,732)	(16,056)	(18,712)	(24,097)	(28,987)	(34,700)	(41,797)	(51,273)	(55,000)	(59,283)	(63,395)
Principal payments on capital leases	0	0	0	0	0	0										
Debt proceeds/borrowings	0	(21)	(24)	0	0	24,896										
Excess tax benefits from stock comp	0	0	0	0	0	0										
Dividends paid	(244)	(244)	(243)	(243)	(243)	(6,047)	(6,047)	(6,047)	(6,047)	(6,047)	(6,047)	(6,047)	(6,047)	(6,047)	(6,047)	(6,047)
Other financing activities	(1,584)	(1,848)	(2,429)	(2,152)	(1,728)	(5,293)	(2,000)	(2,000)	(2,000)	(2,000)	(2,000)	(2,000)	(2,000)	(2,000)	(2,000)	(2,000)
Cash flow from financing	(15,553)	(11,834)	(14,878)	(6,210)	(21,283)	(6,176)	(24,103)	(26,759)	(32,144)	(37,034)	(42,747)	(49,844)	(59,320)	(63,047)	(67,330)	(71,442)
Cash at beginning of period	8,589	15,234	11,639	11,486	10,605	13,237	22,443	42,546	65,305	93,449	126,484	165,230	211,075	266,395	325,441	388,771
Net change in cash and equivalents	6,645	(3,595)	(153)	(881)	2,632	9,206	20,103	22,759	28,144	33,034	38,747	45,844	55,320	59,047	63,330	67,442
Cash at end of period	15,234	11,639	11,486	10,605	13,237	22,443	42,546	65,305	93,449	126,484	165,230	211,075	266,395	325,441	388,771	456,213

Source: Company reports and J.P. Morgan estimates

Investment Thesis, Valuation and Risks

NVIDIA Corporation (*Overweight; Price Target: \$320.00*)

Investment Thesis

NVIDIA's vertically integrated platform (spanning multiple chips, rack systems, and the software stack that ties them together) is difficult to replicate and represents a competitive advantage relative to AI compute peers. Multi-year demand visibility remains exceptionally strong and is explicitly framed as a floor, excluding several incremental revenue streams while being layered on top of a structural, underappreciated shift of traditional enterprise workloads to accelerated compute that is independent of the AI training/inference cycle. We see constructive demand fundamentals coupled with an inflecting capital return supporting material upside to the stock.

Valuation

Our PT assumes NVDA trades at ~20x (reflecting long-term growth rate expectations) applied to CY26 EPS of \$15.87.

Risks to Rating and Price Target

- TAM share capture by alternative compute platforms (AI ASICs/XPUs primarily, but also merchant competitors (AMD) and specialized accelerators) has been an ongoing narrative headwind, and one that is challenging to dispel entirely given the significant program ramps planned over the next several years; we expect GPU and ASIC/XPU share of the AI compute TAM to trend toward parity in coming years.
- Memory cost inflation and supply constraints have pressured platform specifications and raise questions over the longer-term durability of gross margins, introducing uncertainty around both top-line mix and profitability as the company scales back memory capacity to meet compute volume commitments.

NVIDIA Corporation: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY25A	FY26A	FY27E	FY28E	FY29E		1Q27A	2Q27A	3Q27E	4Q27E	
Revenue	130,497	215,938	408,700	695,041	-	Revenue	81,615A	96,221A	109,219	121,645	-
COGS	(32,638)	(62,475)	(107,603)	(191,837)	-	COGS	(20,458)A	(24,079)A	(28,397)	(34,669)	-
Gross profit	97,859	153,463	301,097	503,203	-	Gross profit	61,157A	72,142A	80,822	86,976	-
SG&A	(3,362)	(4,451)	(5,513)	(6,564)	-	SG&A	(1,300)A	(1,354)A	(1,408)	(1,450)	-
Adj. EBITDA	83,447	133,357	271,138	460,334	-	Adj. EBITDA	54,533A	64,861A	73,015	78,730	-
D&A	(1,864)	(2,842)	(4,737)	(6,323)	-	D&A	(997)A	(1,127)A	(1,255)	(1,358)	-
Adj. EBIT	81,583	130,515	266,401	454,012	-	Adj. EBIT	53,536A	63,734A	71,760	77,372	-
Net Interest	-	-	-	-	-	Net Interest	-	-	-	-	-
Adj. PBT	83,133	132,666	268,671	456,100	-	Adj. PBT	54,240A	64,256A	72,282	77,894	-
Tax	(11,146)	(21,382)	(48,931)	(77,537)	-	Tax	(11,582)A	(11,819)A	(12,288)	(13,242)	-
Minority Interest	-	-	-	-	-	Minority Interest	-	-	-	-	-
Adj. Net Income	74,266	116,903	224,148	378,563	-	Adj. Net Income	45,548A	53,954A	59,994	64,652	-
Reported EPS	2.94	4.89	9.97	15.83	-	Reported EPS	2.38A	2.45A	2.47	2.67	-
Adj. EPS	2.99	4.77	9.24	15.87	-	Adj. EPS	1.87A	2.22A	2.48	2.68	-
DPS	0.04	0.04	0.76	1.00	-	DPS	0.01A	0.25A	0.25	0.25	-
Payout ratio	1.4%	0.8%	7.6%	6.3%	-	Payout ratio	0.4%A	10.2%A	10.1%	9.4%	-
Shares outstanding	24,805	24,515	24,252	23,855	-	Shares outstanding	24,391A	24,285A	24,209	24,125	-
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY25A	FY26A	FY27E	FY28E	FY29E		FY25A	FY26A	FY27E	FY28E	FY29E
Cash and cash equivalents	43,210	62,556	142,231	288,000	-	Gross margin	75.0%	71.1%	73.7%	72.4%	-
Accounts receivable	23,065	38,466	73,256	104,765	-	EBITDA margin	63.9%	61.8%	66.3%	66.2%	-
Inventories	10,080	21,403	43,683	67,545	-	EBIT margin	62.5%	60.4%	65.2%	65.3%	-
Other current assets	3,771	3,180	3,409	3,409	-	Net profit margin	56.9%	54.1%	54.8%	54.5%	-
Current assets	80,126	125,605	262,579	463,719	-	ROE	121.4%	98.8%	99.8%	97.3%	-
PP&E	6,283	10,383	17,026	21,411	-	ROA	83.8%	73.4%	75.3%	77.1%	-
LT investments	-	-	-	-	-	ROCE	100.6%	86.4%	88.9%	89.4%	-
Other non current assets	25,192	70,815	108,575	108,575	-	SG&A/Sales	2.6%	2.1%	1.3%	0.9%	-
Total assets	111,601	206,803	388,180	593,706	-	Net debt/equity	NM	NM	NM	NM	-
Short term borrowings	0	999	0	0	-	P/E (x)	70.0	44.0	22.7	13.2	-
Payables	6,310	9,812	20,988	32,364	-	P/BV (x)	65.6	32.7	17.4	10.3	-
Other short term liabilities	11,737	21,352	26,960	26,960	-	EV/EBITDA (x)	60.6	37.8	18.4	10.5	-
Current liabilities	18,047	32,163	47,948	59,324	-	Dividend Yield	0.0%	0.0%	0.4%	0.5%	-
Long-term debt	8,463	7,469	32,366	32,366	-	Sales/Assets (x)	1.5	1.4	1.4	1.4	-
Other long term liabilities	5,764	9,878	15,903	15,903	-	Interest cover (x)	-	-	-	-	-
Total liabilities	32,274	49,510	96,217	107,593	-	Operating leverage	128.5%	91.6%	116.6%	100.5%	-
Shareholders' equity	79,327	157,293	291,962	486,112	-	Revenue y/y Growth	114.2%	65.5%	89.3%	70.1%	-
Minority interests	-	-	-	-	-	EBITDA y/y Growth	141.3%	59.8%	103.3%	69.8%	-
Total liabilities & equity	111,601	206,803	388,180	593,706	-	Tax rate	13.4%	16.1%	18.2%	17.0%	-
BVPS	3.20	6.42	12.04	20.38	-	Adj. Net Income y/y Growth	129.8%	57.4%	91.7%	68.9%	-
y/y Growth	85.5%	100.6%	87.6%	69.3%	-	EPS y/y Growth	131.0%	59.3%	93.8%	71.7%	-
Net debt/(cash)	(34,747)	(54,088)	(109,865)	(255,634)	-	DPS y/y Growth	150.0%	0.0%	1800.0%	31.6%	-
Cash flow from operating activities	64,091	102,719	173,499	318,246	-						
o/w Depreciation & amortization	1,864	2,842	4,737	6,323	-						
o/w Changes in working capital	(11,877)	(15,948)	(55,397)	(66,747)	-						
Cash flow from investing activities	(20,421)	(52,228)	(40,478)	(10,708)	-						
o/w Capital expenditure	(3,236)	(6,042)	(9,788)	(10,708)	-						
as % of sales	2.5%	2.8%	2.4%	1.5%	-						
Cash flow from financing activities	(42,361)	(48,475)	(78,321)	(161,769)	-						
o/w Dividends paid	(834)	(974)	(18,384)	(24,188)	-						
o/w Net debt issued/(repaid)	(1,250)	(45)	24,896	0	-						
Net change in cash	1,309	2,016	54,700	145,769	-						
Adj. Free cash flow to firm	60,855	96,677	163,711	307,538	-						
y/y Growth	125.2%	58.9%	69.3%	87.9%	-						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Jan. o/w - out of which

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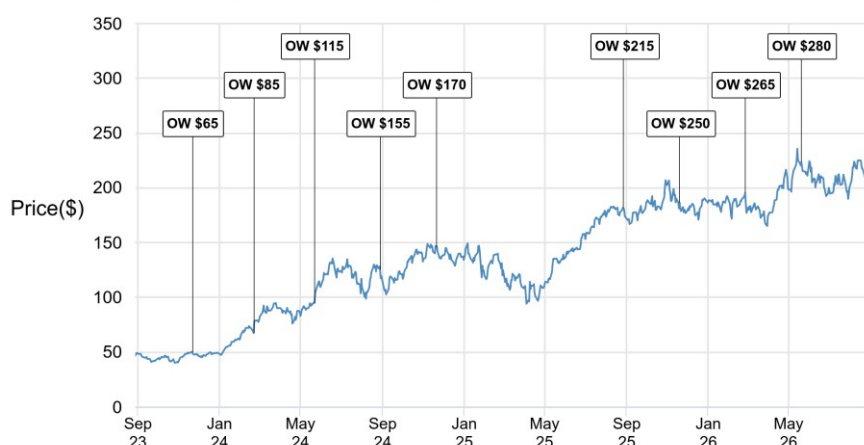
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NVIDIA Corporation (NVDA, NVDA US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
22-Nov-23	OW	49.94	65
22-Feb-24	OW	67.47	85
23-May-24	OW	94.95	115
29-Aug-24	OW	125.61	155
21-Nov-24	OW	145.89	170
28-Aug-25	OW	181.60	215
20-Nov-25	OW	186.52	250
26-Feb-26	OW	195.56	265
21-May-26	OW	223.47	280

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 04, 2002. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.
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IB clients**	83%	80%	73%
JPMS Equity Research Coverage*	51%	37%	12%
IB clients**	95%	92%	87%

*Please note that the percentages may not add to 100% because of rounding.

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